23 July 2026

Asia Quantitative Strategy

Japan Strategy Q326: The bright spot in the region - Ample opportunities for value & growth managers

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Japanese equities delivered robust returns in 1H26 with MSCI Japan up 16% and NK225 up 29%. While markets have been under pressure in July, we believe Japan still remains a bright spot within the region with reasonable valuations, broad-based earnings upgrade cycle, strong foreign investor sentiment and AI+non-AI opportunities.

Valuations, earnings, flow remain supportive: The market has de-rated from 17x fwd. PE to 14.9x ie. 10yr avg levels. Outside of KR/TW, Japan has been the only big Asian market seeing a broad-based upgrade cycle (see Asia Quant Strategy Deck) with most sectors seeing net upgrades. The trends look most positive for Healthcare, Materials, Financials, Tech, and Industrial; though earnings expectations for Tech, Financials, Industrial are now at record high. Japan has been the most favored Asian market this year, seeing +57.5bn USD of FII flow and global active funds have reduced their UW from -1.6% in Jan26 to -0.48% by May26. We expect foreign investor sentiment to be supportive and more recently, even retail sentiment seem to be coming back.

Domestic vs. exporters. We have been recommending balanced exposure across exporters and domestics. While 1H exporters outperformed domestics (35% vs. 20%), more number of domestic sectors have done well such as Banks, Insurance, Retailing, Materials, Commercial & Pro services and F&B. Domestics continue to offer stronger revenue growth (23% vs 12% for exporters), higher dividend yield (2.2% vs. 1.7%), buyback yield (1.3% vs 0.5%) and cheaper valuations; however, exporters have superior ROE (11.2% vs. 9.3%) and better relative earnings revisions. Given these mixed signals, we maintain our preference for both exporters and domestics, though we believe the case for domestics is improving as extreme weak Yen support for exporters is largely behind us.

Industry outlook. We remain positive on tech sector with a preference towards chasing momentum names selectively but also diversifying into undervalued opportunities. See **-** Japan Tech Strategy 3Q26. Based on our updated industry scorecard and its historical efficacy, we recommend being positive on Capital Goods, Banks, Diversified Financials, Insurance, Energy and Household & Personal products while being cautious towards Pharma, Transportation, F&B, Food & Staples Retailing and Software & Services.

Style positioning. We maintain our value and growth barbell. Leadership in 2026 has been driven by growth/momentum factors, while quality, low volatility and small Caps have lagged. While Japan momentum has not been as vulnerable as TW/KR momentum; the high correlation of the AI trade has created pressure on Japan momentum basket as well. Instead of taking direct momentum exposure in Japan, we have been chasing names where momentum is likely to increase; which is growth stocks on price momentum aspect and value stocks on earnings momentum. Both these baskets are cheap and while growth stocks are looking better on continued upward revisions, value has dropped to extreme bearish sentiment which is likely to bottom. Value also has the macro tailwind from rate hike cycle. We believe large-cap leadership is likely to continue given better earnings support, however, opportunities within small/mid-caps are also emerging. **We show our preferred screens in Exhibit 29–Exhibit 30.**

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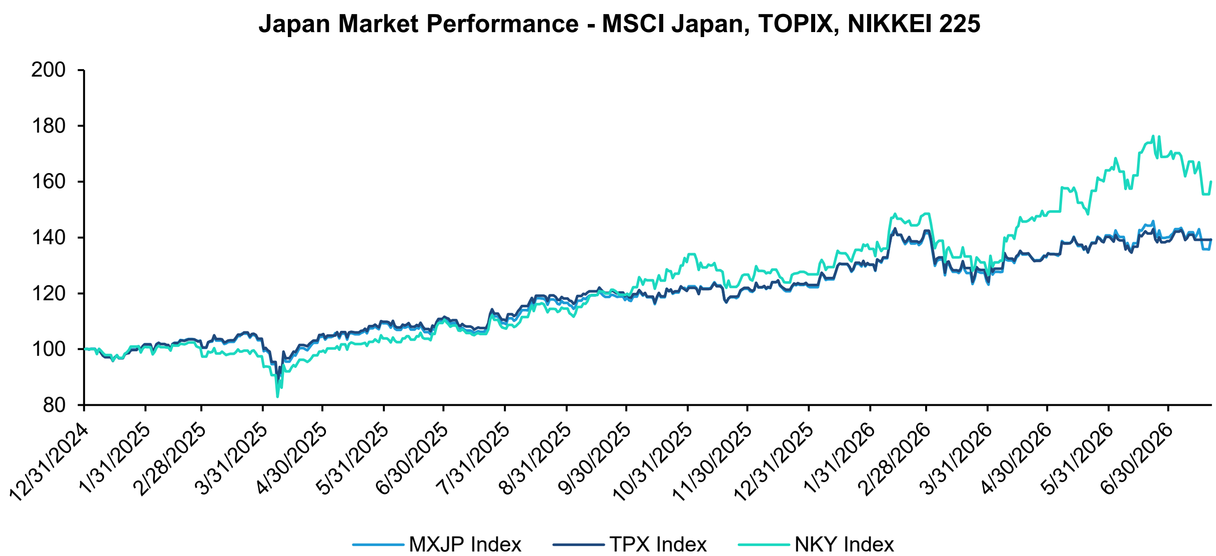
DETAILS

PERFORMANCE SO FAR

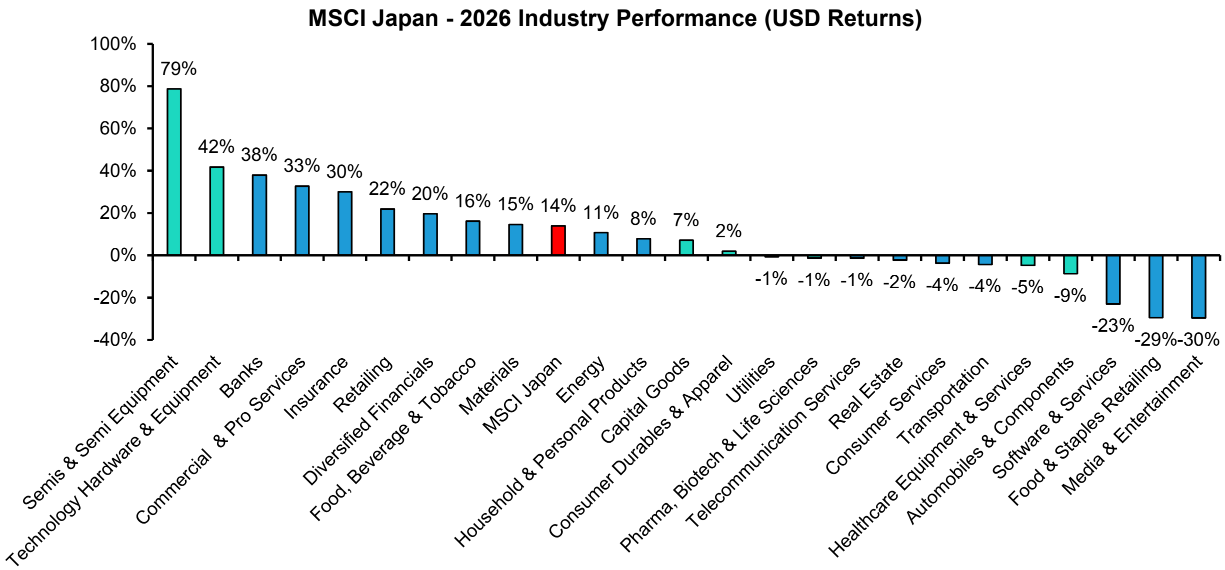
Japanese equities delivered robust returns in 1H26 with MSCI Japan up 16% and NK225 up 29%. Since April, NK225 surged ahead of Topix/MSCI Japan, implying strong large-cap leadership. Within Japan, AI theme has been a key driver with Semis up 101% followed by Tech Hardware up 58%. However, even domestic sectors like Banks, Insurance have done well along with Commercial & Pro Services. The worst hit industries have been Food & Staples Retailing (-29%) and Software & Services (-23%). 1H26, exporters have done better, up 35% vs. domestics up 20%. In Jul, however, Domestics (+4%) outperformed exporters (-6%). From factor perspective, GARP (+28%) has been the winning factor in Japan in 1H26 relative to the market, followed by Growth (27%), price momentum (18%) and earnings momentum (16%). The worst styles in 1H26, have been quality, low vol and small-caps, down -14%, -14% and -13% respectively vs. market. In Jul MTD, Low vol (6%), value (6%), high yield (6%) outperformed while momentum (-14%) saw sharp unwind followed by growth/GARP (-4%/-8%). Within Tech sector, 1H 2026, GARP (35-47%) led followed by Momentum with 29% returns relative to market. Other styles other than momentum and growth have underperformed the market, and ROIC (-18%) and Low vol (-21%) saw the weakest performance. In Jul, high yield (+5%) has outperformed the most. (Exhibit 1-Exhibit 5)

EXHIBIT 1: **YTD, MSCI Japan is up 14% and NK225 is up 29%. NK225 saw -6% correction in Jul**



Data till Jul 21th 2026
Source: Bloomberg, Bernstein analysis

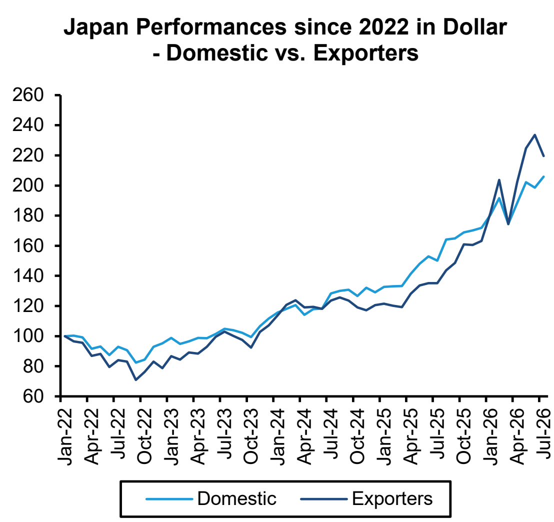
EXHIBIT 2: **Semis (79%) remains the winning sector in 2026 YTD, followed by Tech Hardware (42%), Banks (38%) and Commercial & Pro Services (33%)**

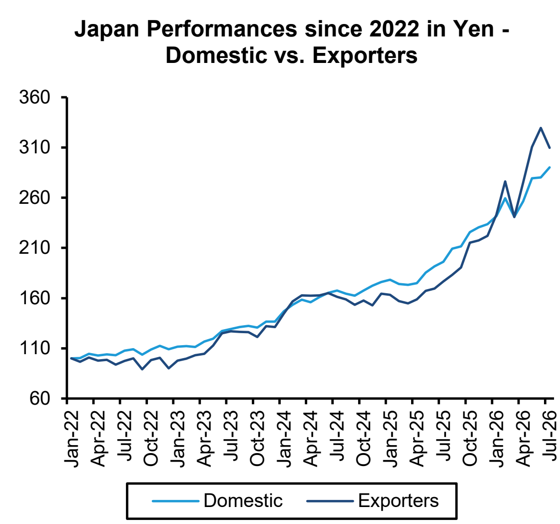


Data as of Jul 21st 2026. Blue represents domestic oriented while green represents export oriented industries. We define domestic and exporters based on median sale exposure across different geographies in a fiscal year. Industries with above 50% sale exposure outside Japan are defined as exporters

Source: Bloomberg, Bernstein analysis

EXHIBIT 3: **In 1H2026, performance of Japan exporters was stronger (35%) compared to domestics (20%) in USD. In Jul, however, Domestics (+4%) outperformed exporters (-6%)**

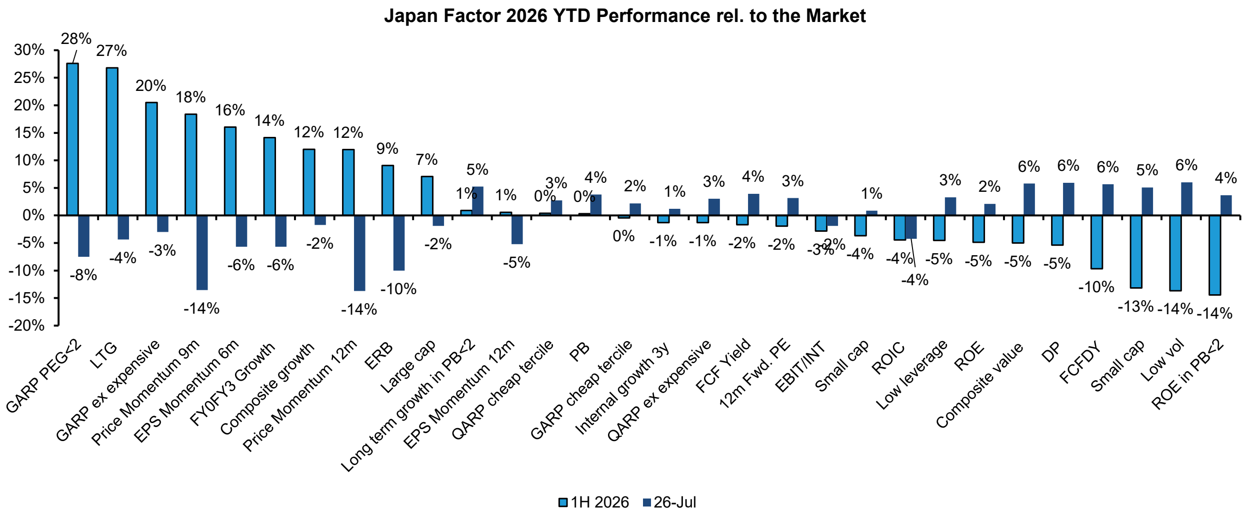




Data as of Jul 21st 2026. We define domestic and exporters based on median sale exposure across different geographies in a fiscal year. Industries with above 50% sale exposure outside Japan are defined as exporters

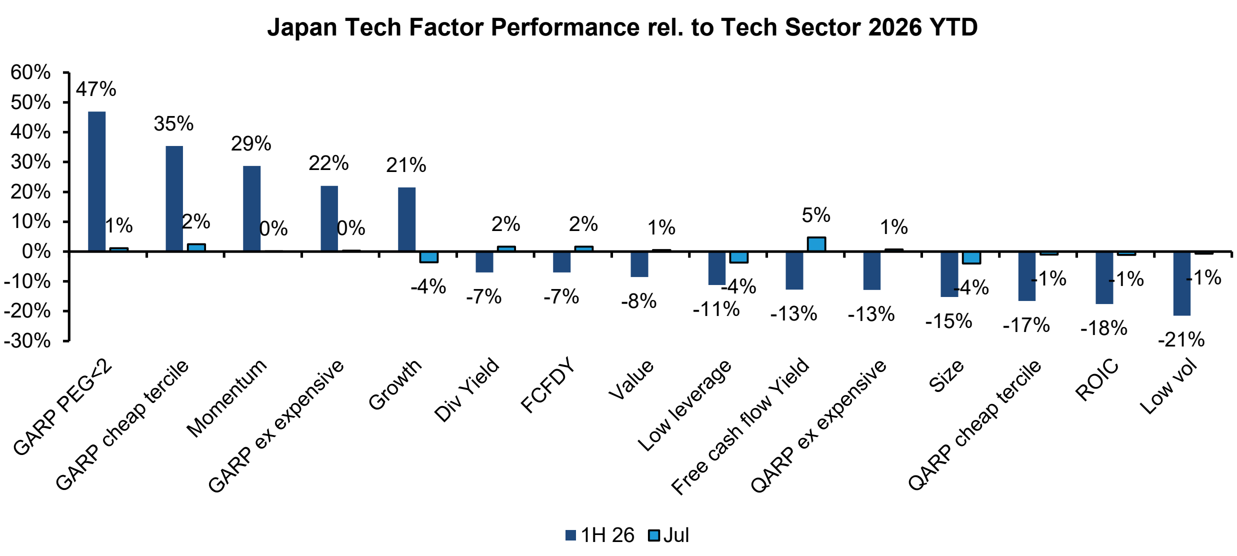
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 4: **GARP/Growth (+28%) has been the winning factor in Japan 1H 26, followed by price momentum (18%) and earnings momentum (16%). The worst styles YTD, have been low vol and small-caps, down -14% and -13% respectively vs. market. In Jul MTD, Low vol (6%), value (6%), high yield (6%) outperformed while growth and momentum underperformed**



Data till Jul 21st 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 5: **1H 2026, GARP (35-47%) led followed by Momentum with 29% relative to market. The rest styles other than momentum and growth have underperformed the market, and ROIC (-18%) and Low vol (-21%) saw the weakest performance. In Jul, high yield (+5%) outperformed the most**



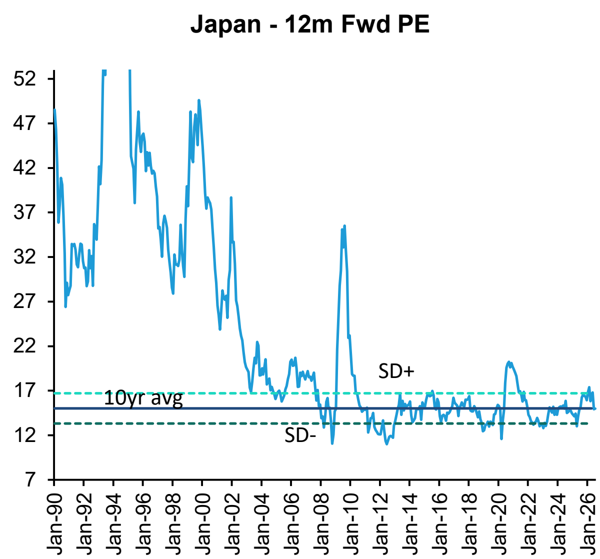
Data till Jul 17th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

VALUATIONS, EARNINGS AND SENTIMENT

Japan market saw sharp de-rating since June, dropping from 17x forward P/E to 14.9x fwd. PE now, which is 10yr average multiples. Hence, valuation is no longer a challenge while earnings upgrade cycle continues. An average stock in Japan has been seeing net upgrades with ample room for upward revisions to continue. Except Consumer, Utilities, Communications; all sectors in Japan are seeing net upgrades and the trends look most positive for Healthcare, Materials, Financials, Tech, and

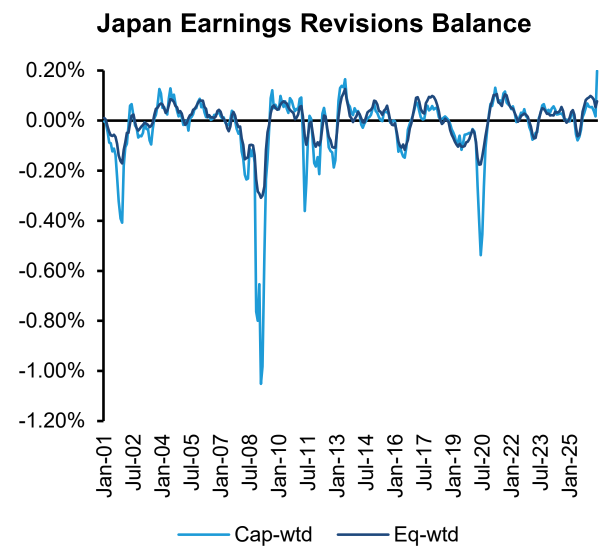
Industrial where pace of upgrades have been increasing. However, earnings expectations for Tech, Financials, Industrial are now at record high levels while earnings revision cycle for Staples, Discretionary, Communications, Utilities and Real Estate have been weakening. (Exhibit 6-Exhibit 8). Global investors have been a key driver of market flow this year - foreign investors have poured +57.5bn USD YTD in Japan and global active funds have reduced their UW from -1.6% since the beginning of the year to -0.48% by May 2026. Interestingly, global active investors are still not OW Japan, leaving ample room for global inflow to continue. On the other hand, domestics investors have been net sellers- YTD, Japan retail investors have pulled out -5bn USD while domestic institutions have net sold -40bn USD. More recently, retail sentiment seem to be coming back. (Exhibit 9-Exhibit 11)

EXHIBIT 6: **Japan has de-rated from 17x in Feb to 14.9x fwd PE ie. at10yr average level**



Data as of Jul 21st 2026. PE data are market-cap weighted
Source: MSCI, IBES, FactSet, Bernstein Analysis

EXHIBIT 7: **Earnings upgrade has been a key support for markets - while the large-caps have seen record high earnings expectations, even an average stock remains in net upgrade with room for upward revisions to continue**



Data till Jun 30th 2026
Source: MSCI, FactSet, Bernstein analysis

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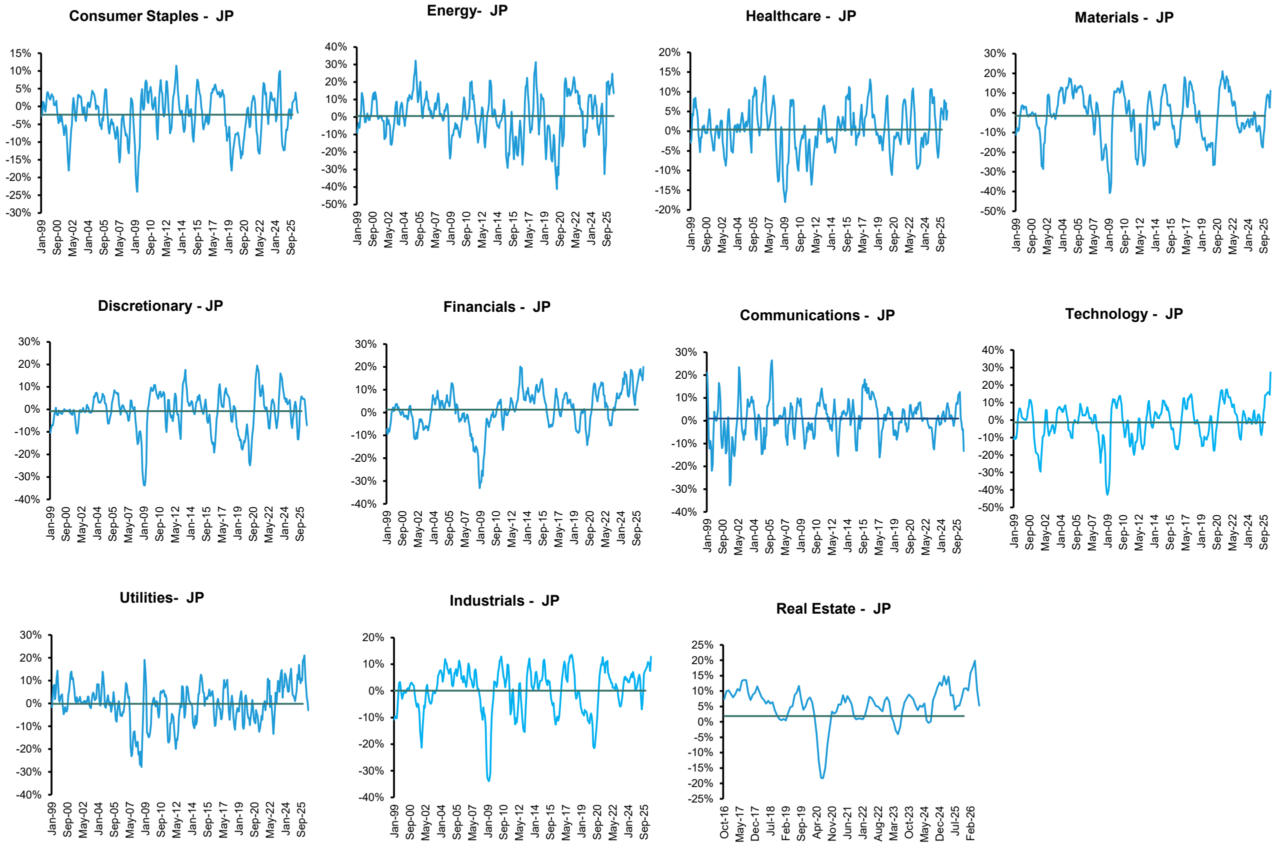
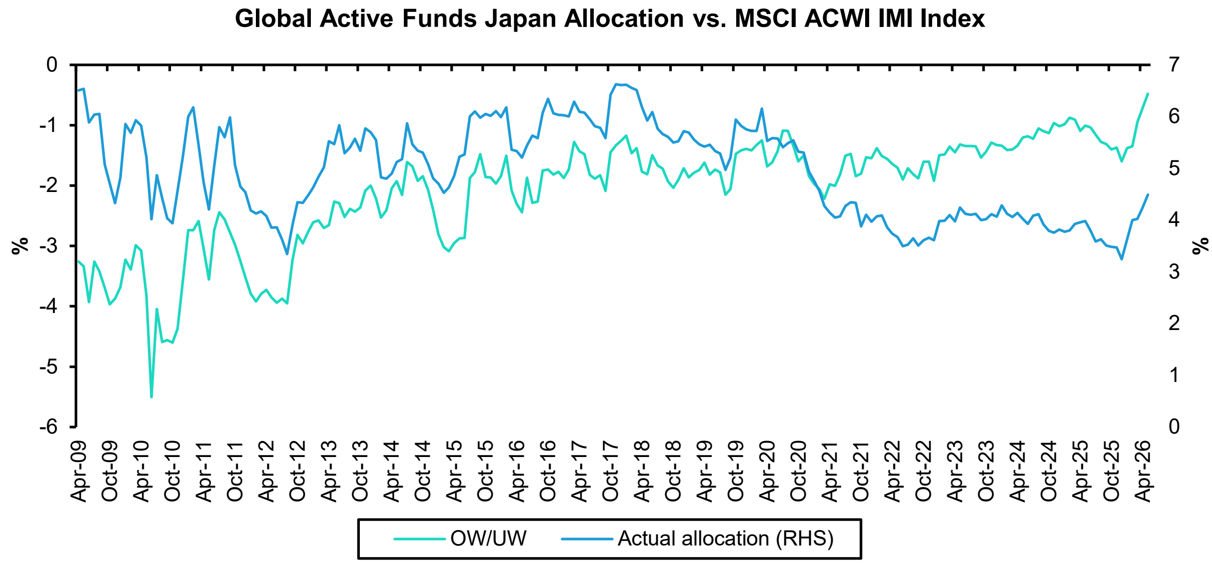
EXHIBIT 8: **Except Consumer, Utilities, Communications; all sectors in Japan are seeing net upgrades. The trends look most positive for Healthcare, Materials, Financials, Tech, and Industrials where pace of upgrades have been increasing. However, earnings expectations for Tech, Financials, Industrials are now at record high levels**



Data as of Jun 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

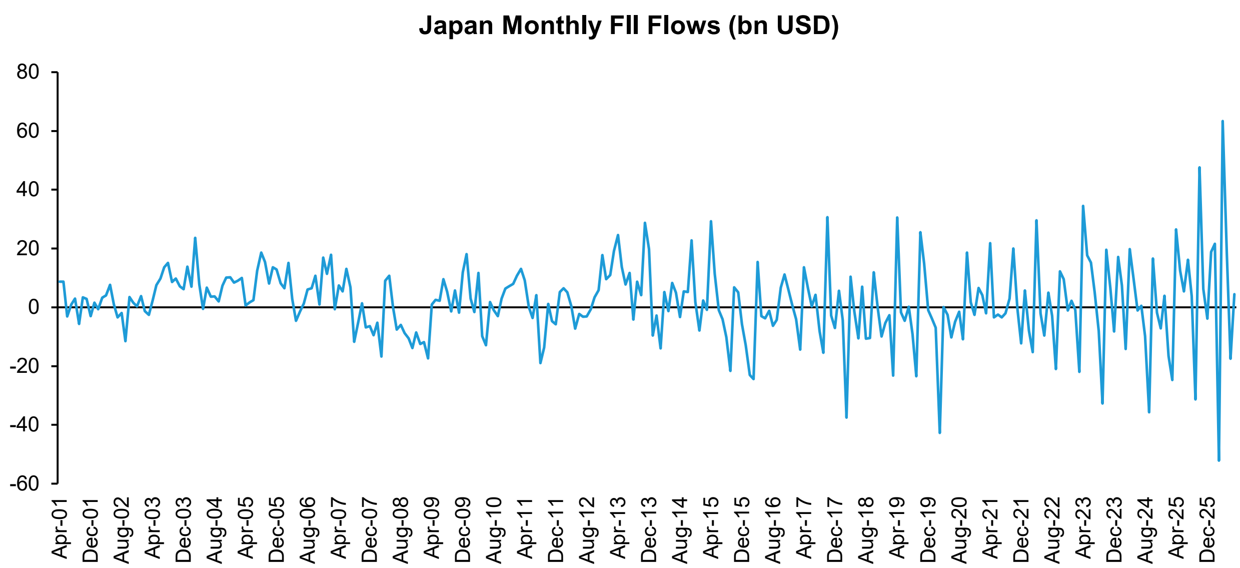
EXHIBIT 9: **Global active funds are returning back to Japanese equities since beginning of the year - they have reduced their UW from -1.6% to -0.48% by May 2026. This is the lowest UW position in Japan held by active global funds since 2009**



Data till May 31st 2026

Source: EPFR, Bernstein analysis

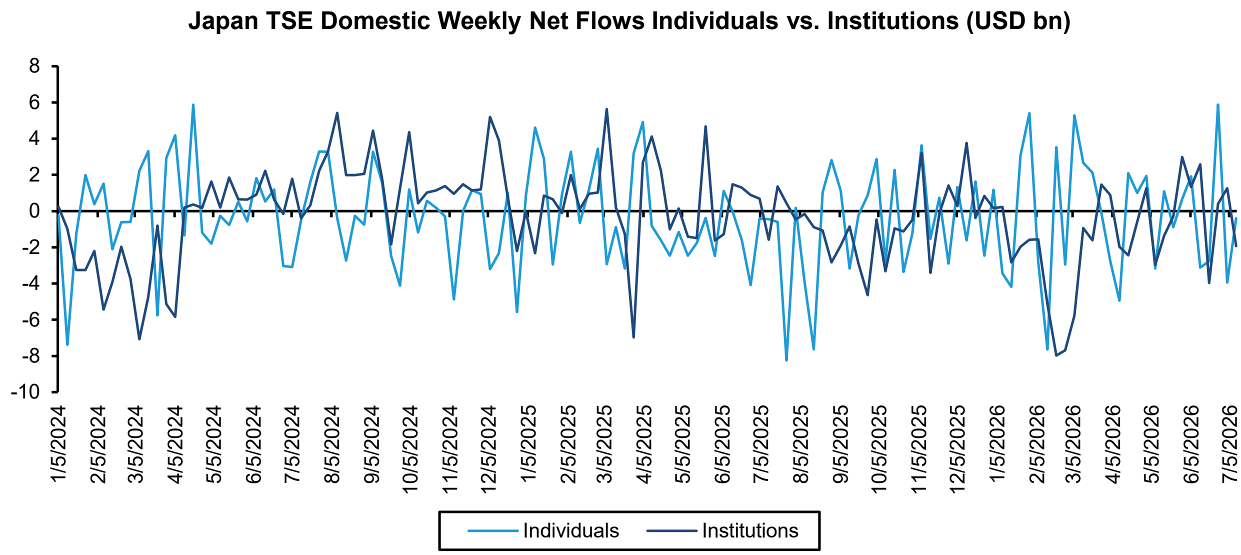
EXHIBIT 10: **Japan has seen the highest foreign investor flow YTD across the region. YTD, there has been +57.5 bn net FII inflow**



Data as of Jul 10th 2026. The FII flow is international portfolio investment that covers investment in equity and debt securities, excluding any such instruments that are classified as direct investment or reserve assets.

Source: Bloomberg, Bernstein analysis

EXHIBIT 11: **YTD, Japan retail investors pulled out -5bn while domestic institutions have net sold -40bn USD.**



Data as of Jul 10th 2026
Source: Bloomberg, Bernstein analysis

JAPAN DOMESTICS VS. EXPORTERS

We started the year with a balanced view on domestics and exporters given the fundamental and macro/political tailwinds were mixed across the two cohorts. YTD, exporters have done better than domestics, largely driven by Semis and Cap goods and some very poor performance by domestic sectors like Software & Services and Food & Staples Retailing. However, interestingly the number of domestic sectors that have outperformed the market are still higher led by Banks, retailing, materials, utilities etc. Domestics still have better top line growth (23% vs. 12% for exporters) and are better proxies of corporate governance reforms with higher dividend yield (2.2% vs. 1.7%) and higher buyback yield (1.3% vs. 0.5%), despite lower ROE (9.3% vs. 11.2%). We believe the currency tailwind for exporters from a weaker Yen is largely behind us as policy is likely to support currency at these levels. However, the scope for relative earnings improvement is higher for exporters compared to domestics while domestics have a huge relative valuation advantage as they trade below -1SD levels relative to exporters. Do note, we already started seeing normalization from extreme net short position on Yen (which reached close to levels last seen in summer of 2024), indicating traders have already started positioning for a stronger Yen from here. The path for policy normalization is also intact with market pricing in 68% probability of a hike in Oct and 100% probability in Dec. Hence, rate cycle and currency are more constructive for domestics. So the biggest support for exporters is coming from continued earnings support while domestics is looking stronger fundamentally and macro-wise. Given these mixed signals, we maintain our preference for both exporters and domestics, though we believe the case for domestics is improving.

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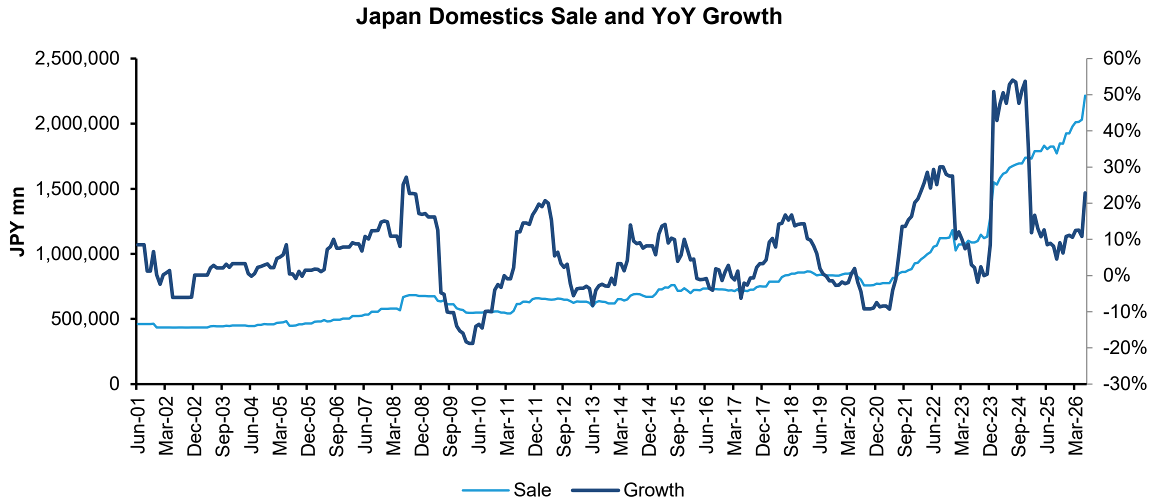
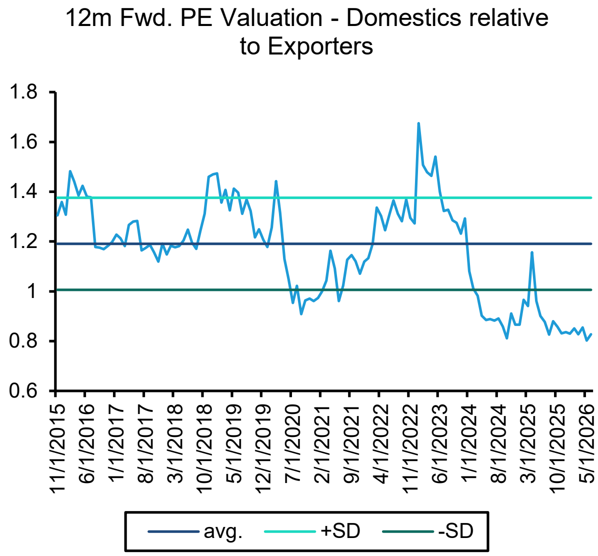
EXHIBIT 12: **Japan domestics still have better top-line growth vs. exporters (23% vs. 12%) but interestingly since April, we are back to a broad-based improvement in top-line growth across domestics and exporters**



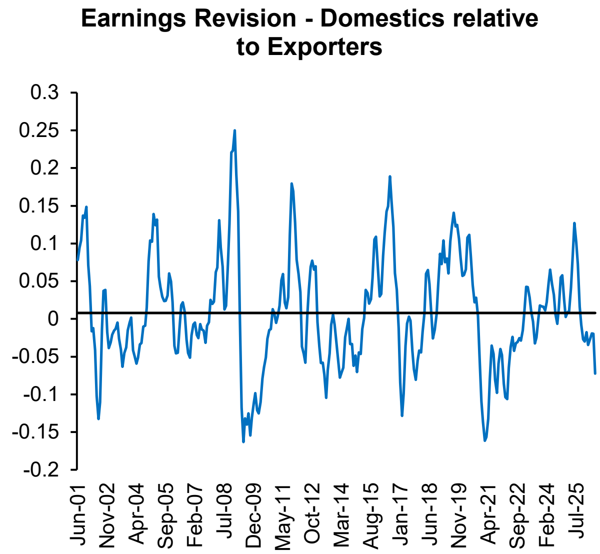
Data till Jun 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 13: **Domestics are still trading at a discount relative to exporters**



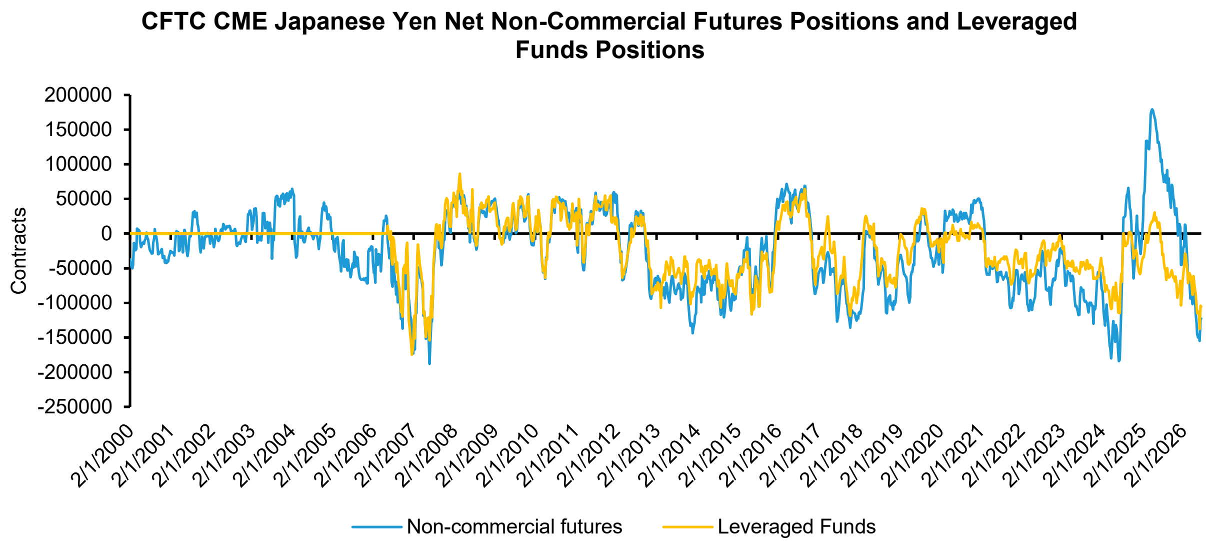
Data till Jun 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 14: **However, earnings revision trends are better for exporters vs. domestics**



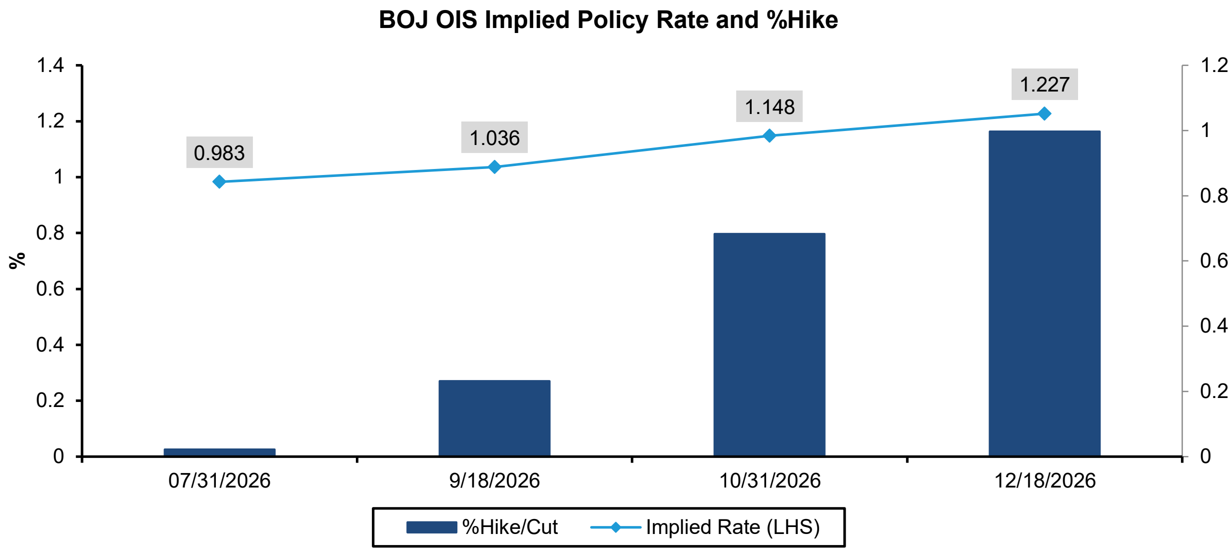
Data till Jun 30th 2026
Source: MSCI, FactSet, Bernstein Analysis

EXHIBIT 15: **YTD, net short position on Yen has built-up quite sharply reaching close to levels last seen in 2024 summer. More recently, traders have started changing their stance**



Data till Jul 14th 2026
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **There is now 68% probability of a hike in Oct and 100% probability of a hike in Dec**



Data as of Jul 13th 2026
Source: Bloomberg, Bernstein analysis

JAPAN INDUSTRY SCORECARD

Our updated industry scorecard based on multiple fundamental parameters such as sales growth, margins, earnings, ROE, capex, valuations and balance sheet is showing bullish outlook for Semis, Automobiles & Components, Capital Goods, Household & Personal Products, Energy, Banks, Diversified Financials and Insurance. It is showing negative outlook for Pharma, Consumer Durables & Apparel, Food, Beverage & Tobacco, Transportation, Food & Staples Retailing and Software & Services. So within domestics, Household & Personal Products, Energy, Banks, Diversified Financials and Insurance and within exporters, Semis, Automobiles & Components and Capital Goods look best. Automobiles & Components, Banks and Insurance have been robust since last quarter, Capital Goods, Household & Personal Products, Energy and Diversified Financials have improved from amber to green while Semis have improved from red to green. Some best performing sectors previously like Technology Hardware & Equipment, Healthcare Equipment & Services, Materials, Commercial & Professional Services and Retailing have moved from green last quarter to amber/red now. (Exhibit 17)

Our industry scorecard has successfully forecast the outperformance of industries including Technology Hardware & Equipment, Materials, Commercial & Professional Services, Banks and Insurance since last quarter. The momentum of Banks and insurance are expected to continue due to increasing profit margin, robust ROE, upward trending CAPEX cycle and solid earnings supports. However, Technology Hardware & Equipment, Commercial & Professional Services are expected to be neutral due to peak in earning supports as well as deterioration in profit margin, ROE and capex growth. Materials has shown slowdown in Sale growth, profit margin and deterioration in earnings. The framework also successfully forecast the underperformance of Media & Entertainment, Transportation and Food & Staples Retailing due to deteriorated fundamental as well as earnings trends but misjudged Consumer Durables & Apparels which delivered stronger than expected performance. While Automobiles & Components, Healthcare Equipment & Services and Retailing were expected to outperform during last quarter, they ended up disappointing. Do note, the framework has not been great in predicting Semis, hence we would recommend looking at our recent tech strategy piece for our thoughts on Semis. We remain selectively positive on semi names where both earnings and price momentum is strong. See - Japan Tech Strategy 3Q26: Tech leadership to broaden out...selectively rotate.

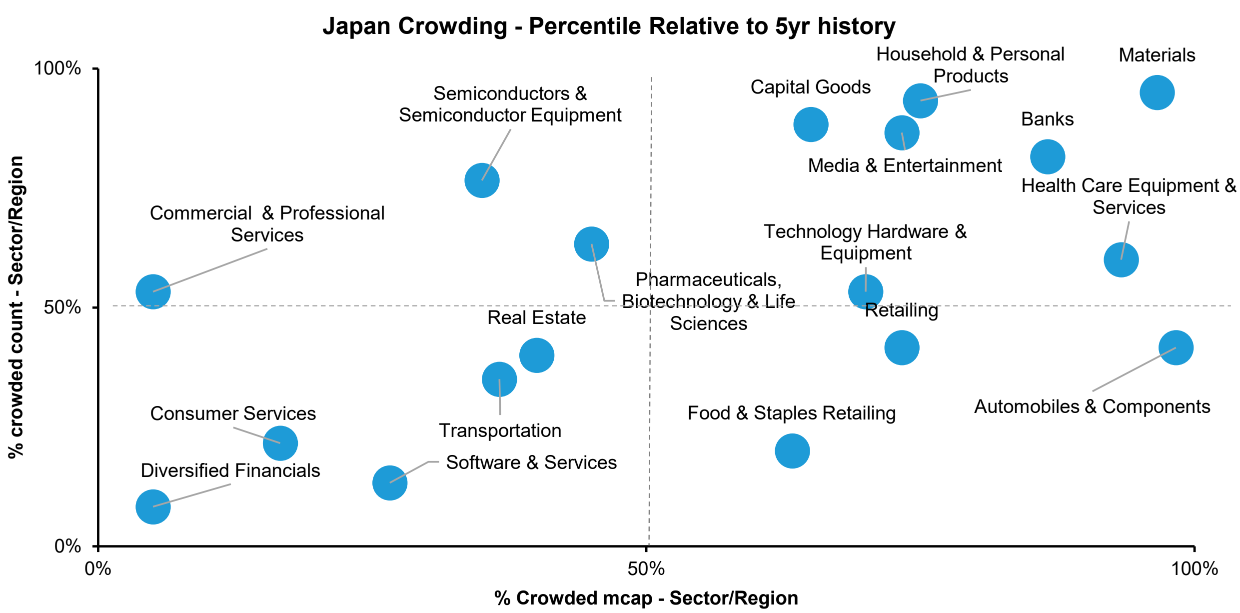
Based on our updated industry scorecard and historical efficacy, we recommend being positive on Capital Goods, Banks, Diversified Financials and Insurance, Energy and Household & Personal products while being cautious towards Pharma, Transportation, Food, Beverage & Tobacco, Food & Staples Retailing and Software & Services. We remain positive on tech sector with a preference towards chasing momentum names selectively but also diversifying into undervalued opportunities.

EXHIBIT 17: **Japan industry scorecard: Bullish for Semis, Automobiles & Components, Capital Goods, Household & Personal Products, Energy, Banks, Diversified Financials and Insurance. It is showing negative outlook for Pharma, Consumer Durables & Apparel, Food, Beverage & Tobacco, Transportation, Food & Staples Retailing and Software & Servcies**

Exports/Domestic oriented	GICS Industry Group	Outlook	2026 YTD Performance	Sale Growth	Profit Margin	EPS Beats	ROE	CAPEX YoY	Earnings Revisions	Valuation (12m Fwd. PE)	Valuation (PB)	Cash % Total assets
Exports oriented	Semiconductors & Semiconductor Equipment	🟢	152%	9% ↑	24% ↑	→	12% ↓	-9% ↑	Positive(Peaked) ▼	+1SD	+1SD	Higher
	Automobiles & Components	🟢	-8%	5% ↑	4% ↓	↓	8% ↑	9% ↑	Negative ↓	Avg.	Avg.	Avg.
	Pharmaceuticals, Biotechnology & Life Sciences	🔴	-3%	5% ↓	14% ↓	→	12% ↓	10% ↓	Positive(Peaked) ▼	-1SD	Avg.	Lower
	Technology Hardware & Equipment	🟡	54%	5% →	9% ↓	↑	10% ▼	16% ↑	Positive ↓	+1SD	+1SD	Higher
	Health Care Equipment & Services	🟡	-14%	9% ↑	12% →	→	9% ↓	21% ↑	Negative ↓	Avg.	Avg.	Lower
	Capital Goods	🟢	14%	4% ↑	7% ↑	↑	11% ↓	100% ↑	Positive ↑	Avg.	+1SD	Avg.
	Consumer Durables & Apparel	🔴	11%	1% ↓	7% ↑	↓	12% ↓	-8% ↓	Positive ↓	Avg.	+1SD	Lower
	Materials	🟡	15%	1% ↓	9% ▼	→	10% ↑	-9% ▲	Positive ↓	Avg.	Avg.	Avg.
	Household & Personal Products	🟢	6%	0% ↑	6% ↓	↓	8% →	-23% ▲	Positive ↑	-1SD	-1SD	Lower
	Media & Entertainment	🟡	-24%	15% ▼	19% →	↑	13% →	21% ↓	Neutral ↓	-1SD	Avg.	Higher
	Food, Beverage & Tobacco	🔴	14%	4% ↑	7% ▼	→	11% ↓	6% ↓	Neutral ↓	-1SD	+1SD	Lower
	Energy	🟢	3%	-10% →	2% ↑	↑	8% ↑	-2% ↑	Positive(Peaked) ▼	Avg.	Avg.	Avg.
	Transportation	🔴	-7%	7% ↑	8% ▼	→	8% ↓	10% ↓	Neutral ↓	Avg.	-1SD	Lower
	Commercial & Professional Services	🟡	16%	4% ↑	8% ↑	↓	7% →	12% ↓	Positive(Peaked) ▼	Avg.	Avg.	Lower
	Consumer Services	🟡	-14%	7% ↓	10% →	↓	14% ▼	2% ↓	Negative ↓	Avg.	Avg.	Higher
	Real Estate	🟡	-13%	-15% ▲	34% →	↓	6% →	97% ▼	Positive ↑	Avg.	Avg.	Lower
	Retailing	🟡	-1%	11% ↑	8% ↓	↓	14% ↓	-25% ↑	Positive ↑	+1SD	+1SD	Lower
	Utilities	🟡	2%	-3% ↓	8% ↓	↑	9% →	112% ↑	Positive ↓	Avg.	Avg.	Avg.
	Food & Staples Retailing	🔴	-28%	-4% ↓	2% ↓	↑	7% ↓	-23% ↓	Neutral ↓	+1SD	Avg.	Lower
	Software & Services	🔴	-28%	7% ↑	8% ↓	→	14% ↓	107% ↓	Positive ↓	Avg.	Avg.	Lower
	Telecommunication Services	🟡	7%	6% ↑	10% →	↓	13% ↓	3% ↓	Negative(Bottomed) ▲	Avg.	Avg.	Lower
	Banks	🟢	31%	9% ↑	20% ↑	↑	9% ↑	6% ▼	Positive ↑	Avg.	+1SD	Avg.
Domestic oriented	Diversified Financials	🟢	4%	10% ↑	13% ↑	↑	10% ↑	-7% ↑	Positive ↓	Avg.	Avg.	Lower
	Insurance	🟢	20%	17% ↓	5% ↑	→	17% →	10% ↑	Positive ↑	Avg.	+1SD	Avg.

Data till Jun 30th 2026. YTD returns are equal weighted. We define domestic and exporters based on median sale exposure across different geographies in a fiscal year. Industries with above 50% sale exposure outside Japan are defined as exporters
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 18: **Materials is the most crowded industry while Diversified Financials, consumer services and software services are quite uncrowded**



Data till Jul 21st 2026. Some industries are not shown due to lack of data
Source: MSCI, FactSet, Bernstein analysis

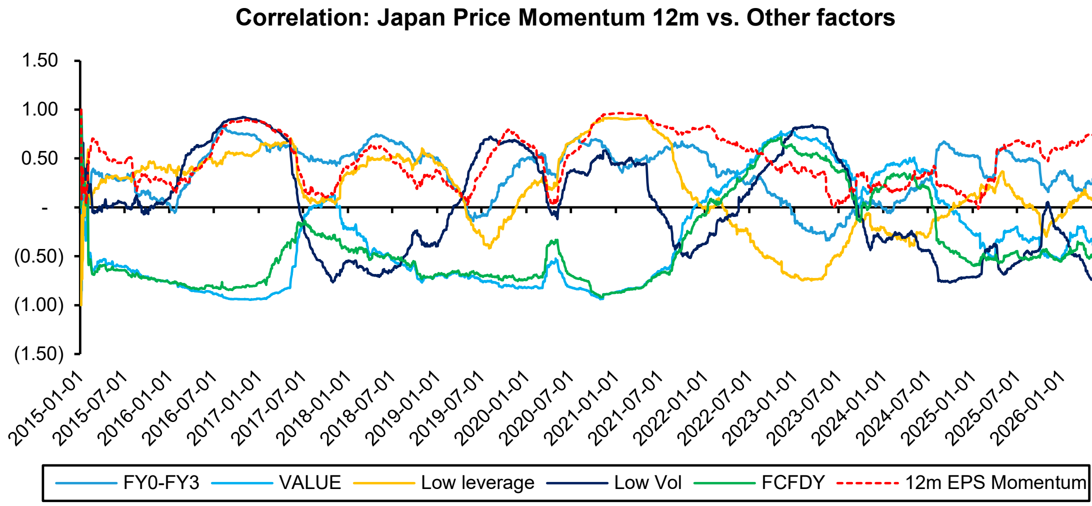
WHAT ABOUT FACTOR POSITIONING?

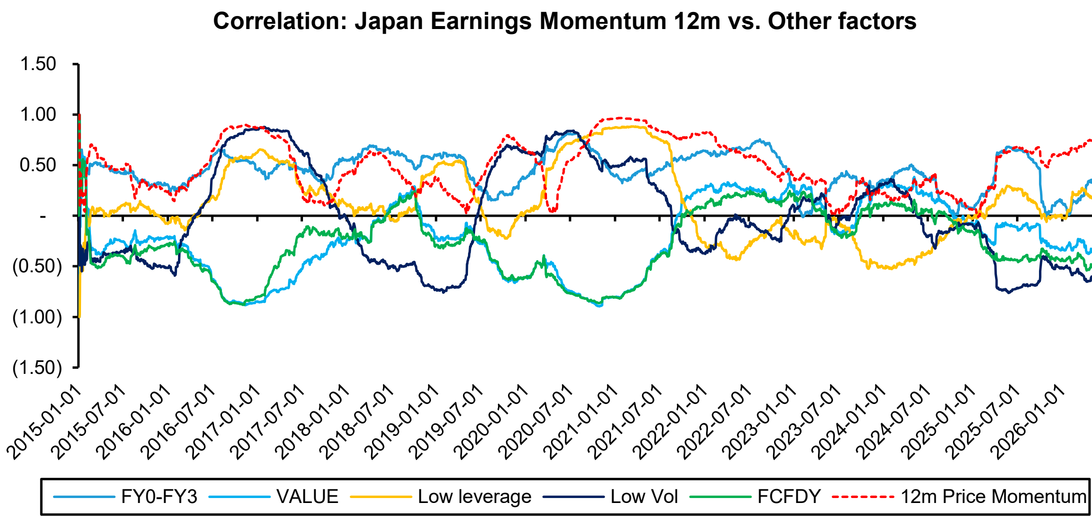
We started the year with a barbell positioning of value stocks along with selective growth and quality names. As shown above, GARP/Growth (+28%) has been the winning factor in Japan YTD, followed by price momentum (18%) and earnings momentum (16%). The worst styles YTD, have been low vol and small-caps, down -14% and -13% respectively vs. market (Exhibit 4).

Momentum is an interesting one for Japan as historically Japan has been notoriously famous for having no momentum effect. This seems to be changing in the last few years, however, given the poor historical evidence, we have stayed away from taking an explicit exposure towards momentum. Instead, we have tried to add exposure where momentum is likely to increase which has been growth (on price momentum aspect) and value (on earnings momentum front). In our recent momentum note (see - Asia Quant Strategy: The high risk of momentum reversal in Taiwan & Korea - 15 key charts for our thesis), we had highlight how risk of momentum unwind is high in markets like TW/KR where things went too extreme. While Japan momentum is not showing similar vulnerability, however, given the high correlation with AI trade, we have seen pressure on Japan momentum basket as well in July.

We believe growth stocks are likely to maintain their leadership as valuations are quite cheap and relative to market, earnings revisions are upward trending. Value is also cheap, quite unloved but most importantly, the downgrade cycle has reached extreme bearish levels which we believe could bottom. We also like value due to the ongoing rate hike cycle which should be largely supportive of value stocks. Hence, we maintain the barbell of growth and value. The first quarter of the year, it was a balanced rally with TOPIX and NK225 quite aligned, however since April NK225 has led sharply, highlighting the strength exhibited by large-caps. On valuation terms, we don't see any reason to be concerned on large, mid or small-caps. While earnings support remains strong across the board, expectations for large-caps are already at record high. However, relative to market, large-caps are still seeing better upgrade cycle and there is still room for upward revisions to continue. Importantly, it is not too crowded. We believe large-cap leadership could continue, though we think small/mid-caps are offering some selective opportunities too. Screens in Exhibit 29 and Exhibit 30.

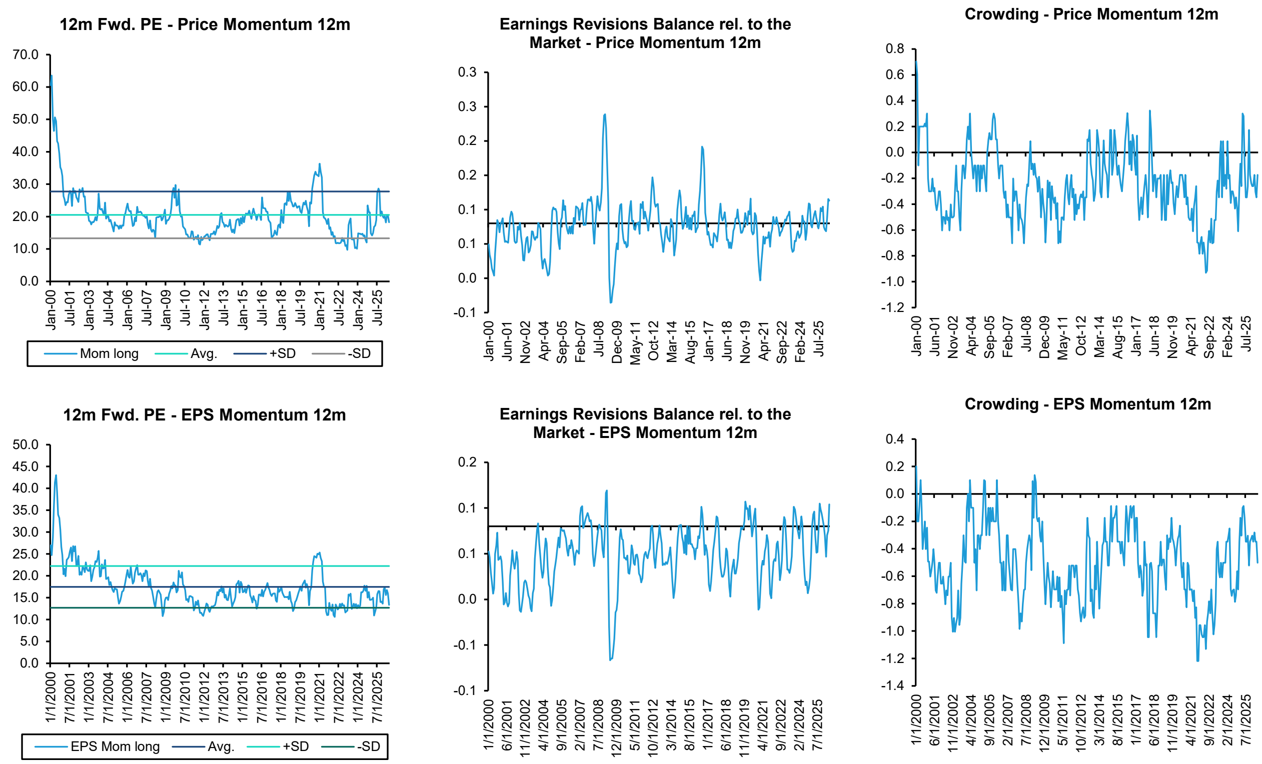
EXHIBIT 19: **In Japan, growth and momentum correlation is increasing while momentum in value/high yielding stocks are close to historical low but the dispersion is not as extreme as seen in Asia ex Japan**





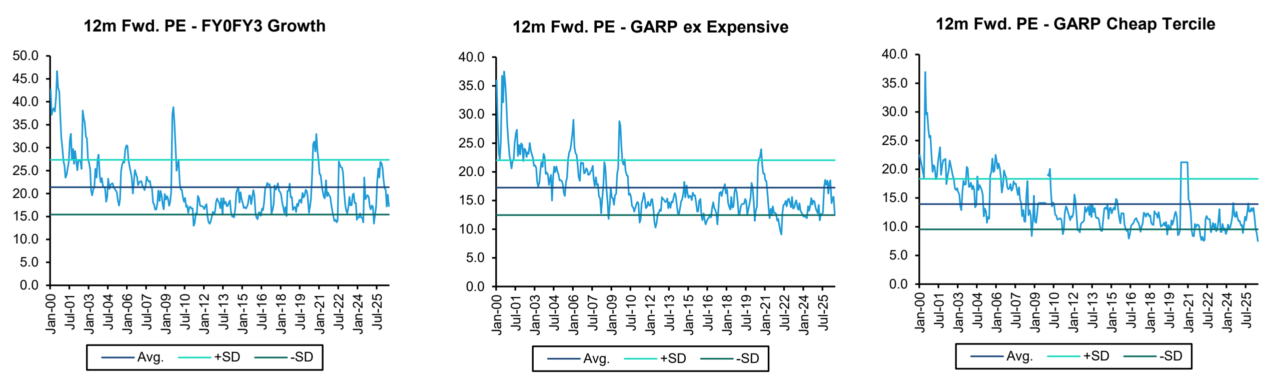
Data as of Jun 30th 2026. The charts shows rolling 6m correlations using daily returns.
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 20: **Unlike in other regions, momentum in Japan is not expensive, not crowded and has more room for upward revisions to continue**



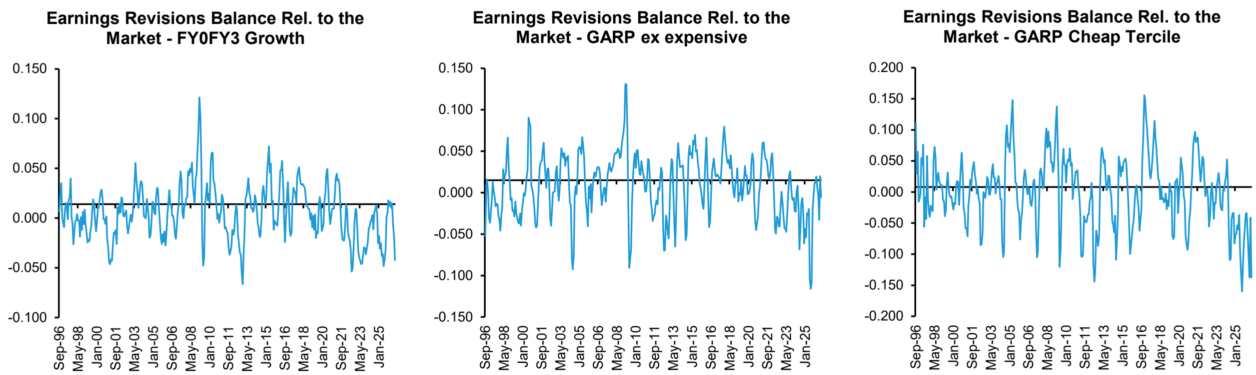
Data till Jun 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 21: **Japan growth cohort has been in de-rating cycle and has dropped to -1sd levels**



Data as of Jun 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

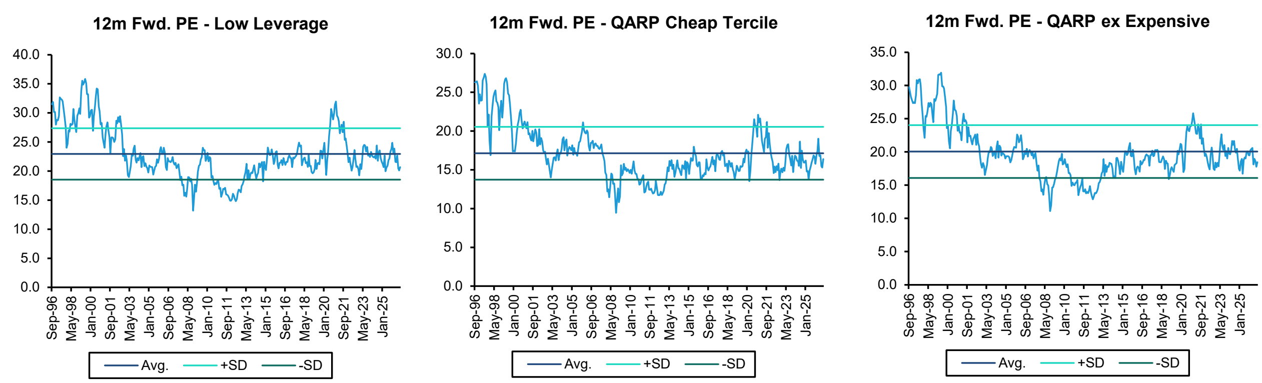
EXHIBIT 22: **Earnings supports for GARP portfolios remain positive with upward trending earnings revisions relative to market**



Data as of Jun 30th 2026

Source: IBES, MSCI, FactSet, Bernstein analysis

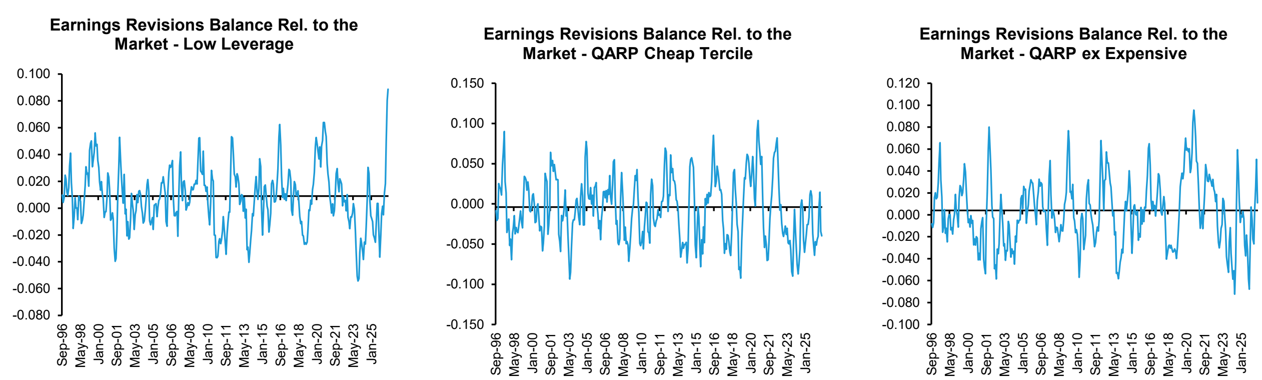
EXHIBIT 23: **Quality and QARP names are all valued below historical mean**



Data till Jun 30th 2026

Source: MSCI, FactSet, Bernstein analysis

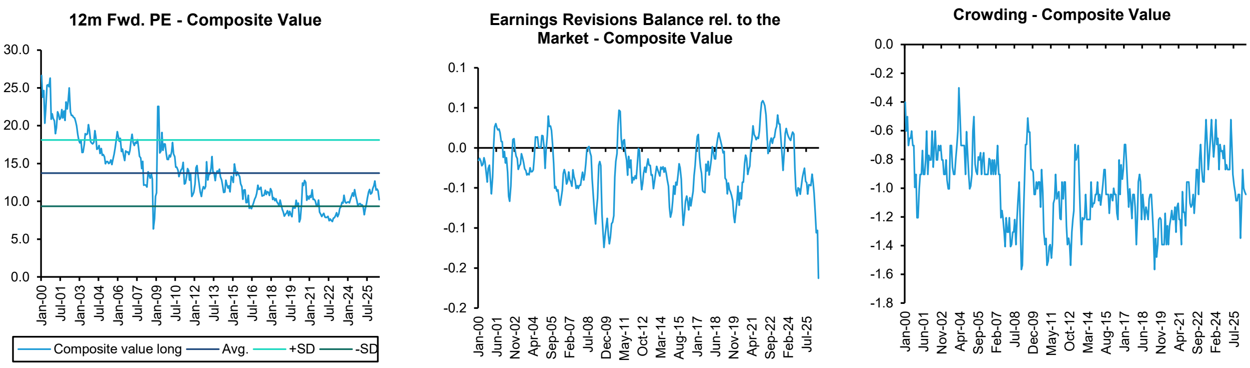
EXHIBIT 24: **The earning upgrade for quality is at peak while QARP is seeing moderation of earnings support. Hence, we stay away from adding more quality exposure at this point**



Data till Jun 30th 2026

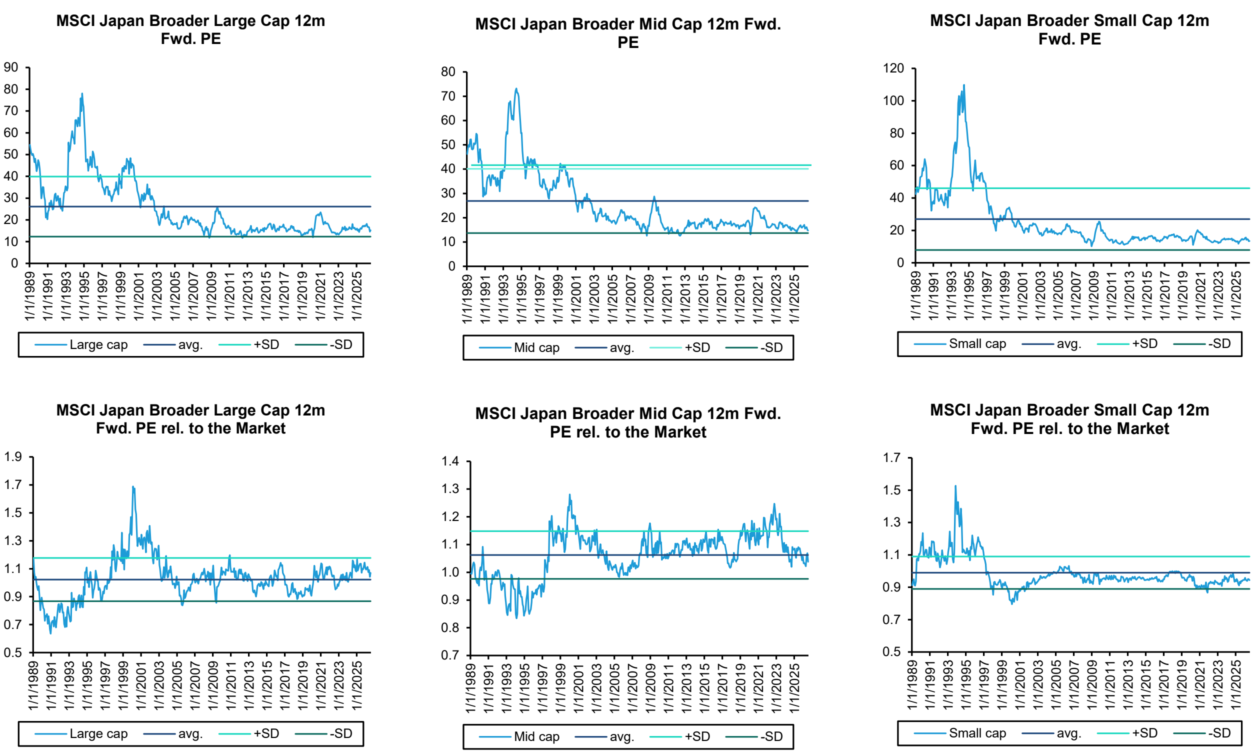
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 25: **Japan value is also quite cheap but interestingly, the earnings expectations have fallen to 25yr bearish levels relative to market. We believe this makes it a contrarian call**



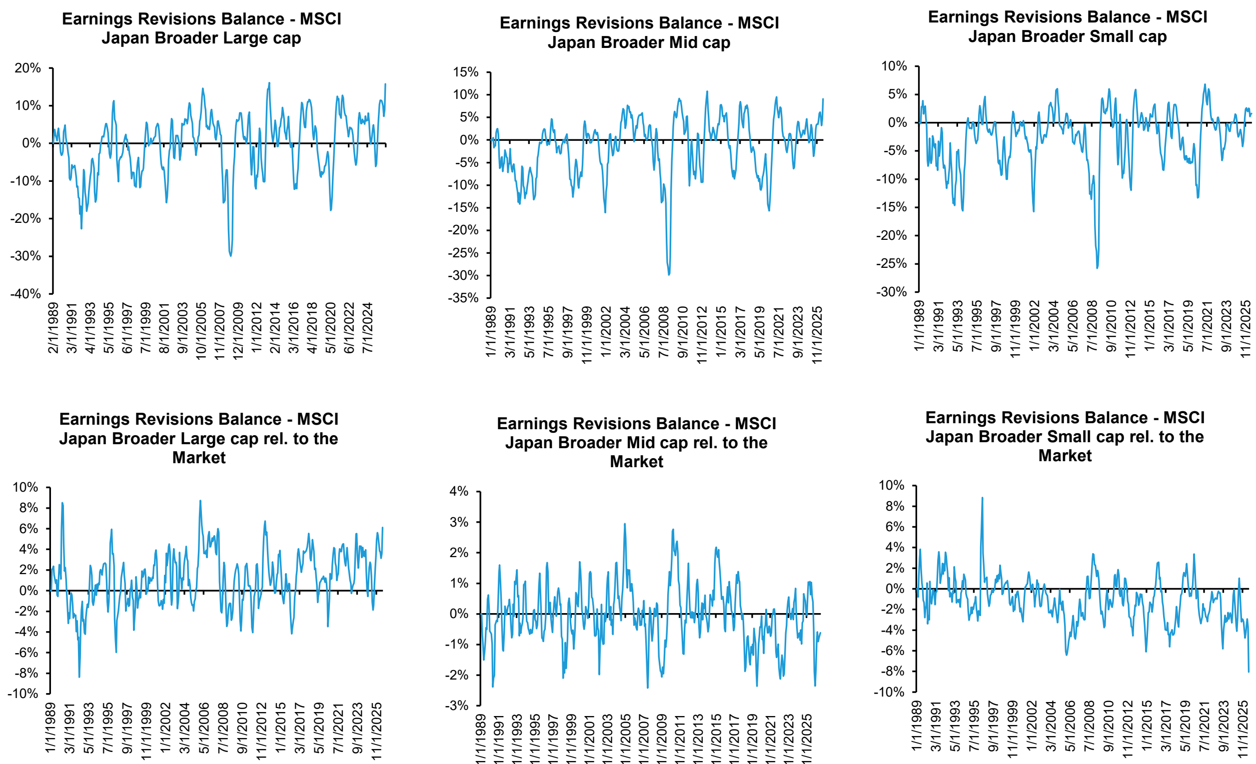
Data as of Jun 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 26: **Japan large cap, mid cap and small cap portfolios are all cheap trading near -1SD to long-term average and at 15x, 15x and 13x fwd. PE respectively. Even relative to the market, large cap, mid-cap and small-caps portfolio are all reasonably priced**



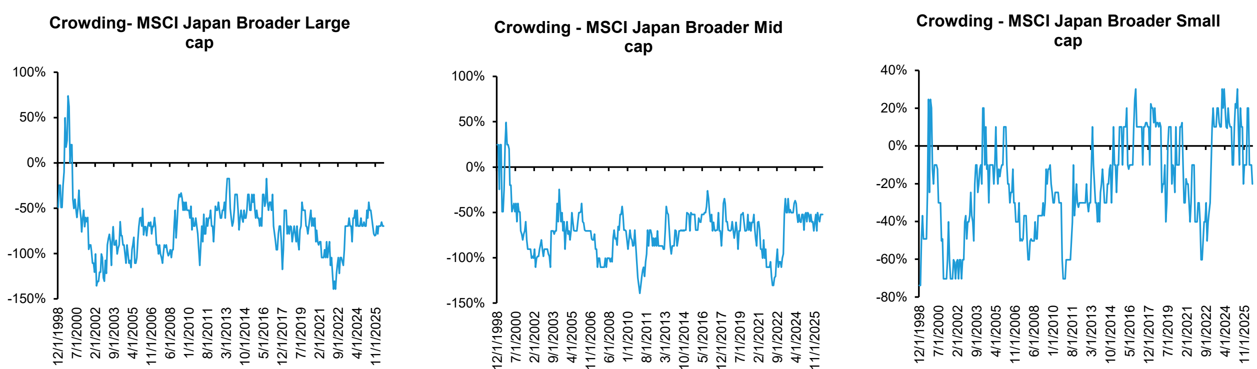
Data till Jul 21st 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 27: **There has been net upgrade cycle across all size caps but earnings expectations for large-caps is now looking extreme. However, relative to the market, there is still room for upward revisions to continue for large-caps while mid-caps are also seeing improving earnings revisions. The downgrades for small-caps have reached extreme levels which could seen an inflection. Hence, earnings support looks quite broad-based**



Data till Jul 21st 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 28: **There isn't much crowding risk on large-caps. Crowding in small caps has been declining but is not extreme yet**



Data till Jul 21st 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 29: **Japan high growth stocks- Where momentum is still building up (earnings momentum is improving in most names)**

Sector	SEDOL	COMPANY	Mcap (USD mn)	12m Fwd. PE	PE 10yr Zscore	GARP	Momentum rank	EPS 6m chg	EPS 12m chg	Bernstein rating
CONSUMER DISCRETIONARY	664286	NISSAN MOTOR CO	6,856	7x	-0.6	1	4	105%	104%	U
TECHNOLOGY	BMGYJ0	KIOXIA HOLDINGS	301,326	8x	-1.7	1	1	1417%	2640%	U
TECHNOLOGY	689567	TOKYO ELECTRON	223,882	39x	2.5	1	1	38%	13%	O
TECHNOLOGY	645610	IBIDEN CO	41,281	62x	4.0	1	1	40%	-21%	O
TECHNOLOGY	663567	RENESAS ELECTRONICS CORP	55,327	21x	0.1	1	2	34%	8%	O
TECHNOLOGY	627094	DISCO CORP	54,237	42x	1.4	1	3	34%	25%	O
CONSUMER STAPLES	605440	ASAHI GROUP HOLDINGS	14,487	11x	-1.8	1	4	-20%	-31%	O
TECHNOLOGY	687049	ADVANTEST CORP	145,657	38x	0.9	1	2	68%	103%	O
TECHNOLOGY	625102	SCREEN HOLDINGS CO	20,898	25x	2.6	1	1	-37%	-44%	M
CONSUMER DISCRETIONARY	643514	HONDA MOTOR CO	41,279	8x	-0.5	1	3	-37%	-52%	M
INDUSTRIALS	630270	EBARA CORP	17,601	26x	2.1	0	1	24%	19%	
INDUSTRIALS	635756	FURUKAWA ELECTRIC CO	20,566	28x	1.7	1	1	73%	69%	
INDUSTRIALS	BQRRZ0	RECRUIT HOLDINGS CO	102,652	21x	-1.3	1	1	29%	22%	
MATERIALS	B0JQTJ	MITSUBISHI CHEMICAL GRP	10,009	11x	-0.1	1	1	-32%	-39%	
MATERIALS	680546	RESONAC HOLDINGS CORP	20,137	25x	-0.2	1	1	204%	147%	
CONSUMER DISCRETIONARY	657270	PANASONIC HOLDINGS CORP	67,991	19x	1.5	1	2	48%	17%	
CONSUMER DISCRETIONARY	698526	YAMAHA MOTOR CO	7,693	10x	0.2	1	2	56%	-18%	
FINANCIALS	BYT816	JAPAN POST BANK CO	67,392	13x	-0.6	1	2	28%	21%	
HEALTHCARE	665880	OLYMPUS CORP	11,651	16x	-0.8	1	2	7%	-21%	
MATERIALS	654377	JX ADVANCED METALS	25,794	23x	2.8	1	2	62%	0%	
TECHNOLOGY	639092	NOMURA RESEARCH INST	16,422	19x	-1.4	1	2	8%	6%	
FINANCIALS	BYT814	JAPAN POST HOLDINGS CO	37,477	11x	-0.2	1	3	23%	4%	
CONSUMER DISCRETIONARY	680482	SHIMANO	9,235	28x	0.0	0	4	45%	-37%	
CONSUMER DISCRETIONARY	622959	RAKUTEN GROUP	10,069	64x	0.0	1	4	77%	76%	
MATERIALS	654379	JFE HOLDINGS	6,138	7x	-0.5	1	4	42%	-17%	

Data as of Jun 30th 2026. Universe=MSCI Asia Pacific ex Japan. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.

Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 30: **Japan Value screen - The anti-momentum exposure**

Sector	SEDOL	COMPANY	Mcap (USD mn)	12m Fwd. PE	PE 10yr Zscore	EPS 6m chg	EPS 12m chg	Bernstein rating
CONSUMER DISCRETIONARY	635640	SUBARU CORPORATION	10,549	9x	-0.4	0%	-12%	U
CONSUMER DISCRETIONARY	613210	BRIDGESTONE CORP	27,990	11x	-0.4	29%	-40%	O
CONSUMER DISCRETIONARY	690064	TOYOTA MOTOR CORP	264,829	8x	-1.2	13%	7%	O
CONSUMER STAPLES	605440	ASAHI GROUP HOLDINGS	14,487	11x	-1.8	-20%	-31%	O
HEALTHCARE	630720	EISAI CO	7,391	18x	-1.8	19%	18%	O
HEALTHCARE	687044	TAKEDA PHARMACEUTICAL	50,470	28x	-0.5	-6%	-41%	O
CONSUMER DISCRETIONARY	601070	AISIN CORP	10,211	8x	-0.5	9%	6%	M
CONSUMER DISCRETIONARY	643514	HONDA MOTOR CO	41,279	8x	-0.5	-37%	-52%	M
CONSUMER DISCRETIONARY	664038	DENSO CORP	33,601	10x	-0.9	-5%	-13%	M
ENERGY	B10RB1	INPEX CORP	25,295	8x	-0.6	15%	33%	M
HEALTHCARE	698538	ASTELLAS PHARMA	24,218	12x	-0.7	62%	71%	M
COMMUNICATIONS	664137	NTT CORP	80,786	11x	-0.3	-4%	-14%	
COMMUNICATIONS	BF5M0K	SOFTBANK CORP	61,407	16x	0.5	-3%	-8%	
CONSUMER DISCRETIONARY	646710	ISUZU MOTORS	9,113	7x	-0.9	23%	11%	
CONSUMER DISCRETIONARY	679390	SEKISUI HOUSE	13,799	9x	-0.7	-5%	-13%	
CONSUMER DISCRETIONARY	698526	YAMAHA MOTOR CO	7,693	10x	0.2	56%	-18%	
CONSUMER STAPLES	647453	JAPAN TOBACCO	73,982	16x	1.0	6%	10%	
FINANCIALS	664310	NOMURA HOLDINGS	26,862	11x	0.5	1%	8%	
FINANCIALS	643189	SUMITOMO MITSUI TRUST	26,043	10x	0.8	9%	6%	
FINANCIALS	626897	MITSUBISHI HC CAPITAL	11,860	10x	0.8	4%	-3%	
FINANCIALS	630946	SBI HOLDINGS	10,732	8x	-0.9	-45%	-41%	
INDUSTRIALS	648468	KAWASAKI KISEN KAISHA	9,773	15x	-0.1	-9%	-24%	
INDUSTRIALS	659758	MITSUI OSK LINES	11,642	9x	-0.2	-6%	-22%	
INDUSTRIALS	664396	NIPPON YUSEN K.K	13,119	11x	-0.2	-17%	-31%	
INDUSTRIALS	695799	WEST JAPAN RAILWAY CO	7,638	12x	-0.3	-17%	-20%	
MATERIALS	654379	JFE HOLDINGS	6,138	7x	-0.5	42%	-17%	
MATERIALS	664256	NIPPON STEEL CORP	17,725	8x	-0.5	740%	-80%	
REAL ESTATE	625136	DAIWA HOUSE INDUSTRY	17,927	9x	-0.8	-7%	-14%	
REAL ESTATE	625050	DAITO TRUST CONSTRUCTION	6,581	9x	-1.5	15%	-79%	
REAL ESTATE	639680	NIPPON BUILDING FUND	6,829	24x	-1.3	-1%	-10%	
REAL ESTATE	680531	HULIC CO (NEW)	8,018	10x	-0.9	6%	1%	
TECHNOLOGY	617232	CANON INC	34,032	10x	-1.3	1%	-6%	
UTILITIES	648348	KANSAI ELECTRIC POWER CO	15,679	9x	-0.2	-20%	-14%	

Data as of Jun 30th 2026. Universe=MSCI Asia Pacific ex Japan. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.

Source: MSCI, FactSet, Bernstein analysis

We acknowledge the contributions of Rui Shi towards creation of this report

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